

descending in a sort of channel. He drew a second trendline, parallel to the first that connected the lows.

However, the stock soon pierced through the second trendline and moved lower. "I thought I recognized a BARR bottom forming, so I drew a third trendline," parallel to the other two and lead-in height apart.

"When the stock dipped below the lowest trendline, I thought the decline was over. So the next day, I bought 100 shares at 18.25. I was tickled to buy the stock a bit below the closing price for the day."

For the next week, the stock shot upward and pierced the middle trendline. John called me up. "Trading stocks is an *easy* game!" he said. "I can't lose!"

The stock began consolidating, but he showed no concern. Flat periods of trading often follow quick rises.

When the stock neared the top trendline, John calculated the target price, using the old method (using the pattern's height) instead of the target being the highest high in the pattern. He computed the lead-in height by subtracting the daily low from the trendline at its tallest part in the first quarter of the pattern. He used the low of 20 August, at 24, and subtracted this from the trendline value of 26, measured vertically. This left him with a lead-in height of \$2.

John thought that the stock would likely break out at about 21.25, so this gave him a target price of 23.25, which is the lead-in height added to the breakout price (and not the top of the pattern).

"If this works as I expect it to, I'll make more than 25%. Isn't that terrific?"

For about a month, the stock moved sideways, but this did not alarm him. He even expected the stock to decline a bit and recapture some of its quick gains.

But he was growing impatient. "When is this going to break out upward?" he asked. "It's stuck in a trading range. I know it's going up, but I want it to go higher not tomorrow, not next week, but now!"

After the stock approached the top trendline and went horizontal, it started dropping in November.

It touched the middle trendline.